FIXED-INCOME INDEXES

Learning Outcome

- describe types of fixed-income indexes

An earlier module highlighted the role of market indexes in tracking the broad risk and return of different security markets, which enable the evaluation of market performance, benchmarking the performance of investments and investment managers, and forming the basis for indexed investment strategies. Fixed-income indexes perform a similar function in bond markets as equity indexes in stock markets but differ in three important ways from their equity counterparts.

1. A single issuer may have many individual fixed-income securities outstanding. *All* bonds that meet index eligibility requirements are included in indexes, causing fixed-income indexes to have many more constituent securities than equity indexes have. Some indexes have over 10,000 constituents.
2. The finite maturity of bonds and the higher frequency of new issuance lead to far more changes in constituents (turnover) in fixed-income indexes than in equity indexes. Bond indexes are usually rebalanced each month to both add new issues and remove those that fall below a minimum maturity.
3. Analogous to equity indexes weighted by issuers' market capitalization, bond index constituents are usually weighted by market value of debt outstanding. Since bonds are issued by many types of issuers, broad bond indexes will reflect changes to bond market composition over time—for example, increases in public versus private issuer debt, longer maturities, and deterioration in credit quality. Government issuers are large bond issuers, so many broad bond indexes have high weights of government debt.

If a bond fund aims to match the returns of a specific index, it will typically hold a representative sample of constituent securities in order to match index returns because the complexity of bond indexes makes it impossible to purchase all the constituent securities.

Fixed-income indexes can be classified as aggregate indexes, with a vast number of constituents, or narrower indexes, based on criteria such as sector, credit quality, time to maturity, geography, and ESG considerations. The choice of index for investment manager performance evaluation is important and will be discussed in detail later in the curriculum, but generally speaking, the index chosen to evaluate an investment manager or fund should correspond to that manager's or fund's investment strategy. For example, Baywhite's Short-Term Bond Fund invests in short-term, investment-grade bonds. To evaluate the fund, its returns should be compared to an index of instruments with similar maturity and credit quality.

The following three exhibits illustrate fixed-income indexes and their use by investors.

Exhibit 3:

Global Aggregate Bond Index

	Bloomberg Barclays Global Aggregate Index Brief Summary of Inclusion Criteria
Issuers:	Fixed-rate bonds from sovereign, government, corporate, and securitized issuers based in DM and EM markets

Currencies:	28 eligible currencies across the Americas, EMEA, and Asia Pacific
Credit Quality:	Investment-grade rating or equivalent
Coupon:	Fixed rate, zero coupon, and step-up coupon (if step-up dates are predetermined)
Amount Outstanding:	Minimum issuance size by market, for example: —CAD150 m —USD300 m, EUR300 m, CHF300 m, AUD300 m —CNY 5 bn (Treasury and bank debt) —RUB20 bn —JPY35 bn
Maturity:	At least one year to final maturity or average weighted maturity
Rebalancing Rules:	At each month end, the composition of the fixed set of bonds for the following monthly index return is established. Bonds that no longer meet maturity, rating, size, or other criteria are removed, and new issues where security reference information and pricing are available are included.
Reinvestment of Cash Flows:	Intra-month interest and principal payments contribute to monthly index returns and are reinvested into the index on the following rebalancing date.
Market of Issue:	Global and regional public markets
Seniority of Debt:	Senior and subordinated issues
Taxability:	Only fully taxable issues are eligible.

The Bloomberg Barclays Global Aggregate Index includes fixed-coupon capital market securities from all major issuer types in 28 developed and emerging markets that meet the above inclusion criteria. However, the index excludes high-yield and unrated debt instruments and those that do not meet minimum issuance size.

The index sponsor prices all bonds at a predetermined time each business day to calculate the index value. Mutual funds and ETFs that track this benchmark index offer *comprehensive* exposure to many fixed-income markets with *no* active security selection and portfolio turnover limited solely to either new issuance or issues no longer meeting inclusion criteria. Similar subindexes are available by market or region, and returns may include gains or losses due to currency fluctuations (unhedged returns) or may offset these currency-based changes using currency forwards on rebalancing dates (hedged returns).

The Bloomberg Barclays Global Aggregate Index might be appropriate to use to evaluate Baywhite Financial's Core Bond Fund since it includes investment-grade, longer-term bonds from a variety of sectors. However, if Baywhite invests in only a single market, such as Japan, a more appropriate benchmark would be the Bloomberg Barclays Japanese Aggregate Index.

The J.P. Morgan EMBI+ Index in Exhibit 4 is a more narrowly defined fixed-income index that includes US dollar–denominated debt of sovereign governments at or below a certain credit quality of a minimum issuance size and maturity. The focus on foreign debt of lower credit quality targets a higher US dollar–based return than for developed market sovereign bonds while assuming the external debt risk of issuer countries.

Exhibit 4:

Emerging Markets Bond Index

J.P. Morgan Emerging Markets Bond Index Plus (EMBI+) Brief Summary of Inclusion Criteria	
Issuers:	Emerging market sovereign issuers of US dollar debt
Currencies:	Only US dollar–denominated bonds are included. Bonds with a coupon or redemption payment linked to an exchange rate are not

	eligible.
Credit Quality:	Sovereign rating of Baa1/BBB+/BBB+ or below by Moody's/S&P/Fitch Ratings
Coupon:	Fixed rate, zero coupon, and step-up coupon (if step-up dates are predetermined)
Amount Outstanding:	Issues with a current face amount outstanding of USD500 million or more
Maturity:	Only instruments with at least 2.5 years until maturity are considered. At each month-end, instruments that will fall below 12 months to maturity during the upcoming month will be excluded.
Return Calculation:	Index total return is calculated as a weighted average of bond returns using bid side prices.
Rebalancing:	Occurs on the final US business day of each month
Reinvestment of Cash Flows:	All coupons received are immediately reinvested into the index

Bond investors seeking to incorporate ESG considerations into fixed-income investment decisions frequently use bond indexes that regularly screen for and exclude issuers that fail to meet certain minimum ESG criteria. For example, the Bloomberg Barclays MSCI Euro Corporate Sustainable SRI Index (see Exhibit 5) filters by sector, currency, credit quality, time to maturity, *and* ESG considerations, such as a minimum ESG rating and exclusion of issuers involved in certain business activities.

Exhibit 5:

Corporate Sustainable Socially Responsible Investment (SRI) Bond Index

Bloomberg Barclays MSCI Euro Corporate Sustainable SRI Index Brief Summary of Inclusion Criteria	
Issuers:	Corporate (industrial, utility, and financial institution) issuers
Currencies:	Only euro-denominated bonds are included.
Credit Quality:	Security rating of Baa3/BBB-/BBB- or above by Moody's/S&P/Fitch or equivalent
Coupon:	Fixed rate, zero coupon, and step-up coupon (if step-up dates are predetermined)
Amount Outstanding:	EUR300 million minimum par amount outstanding
Maturity:	At least one year to final maturity, with fixed-to-floating perpetual bonds excluded one year prior to conversion. Fixed-rate perpetual bonds are excluded.
Return Calculation:	Index total return is calculated as a weighted average of bond returns using bid side prices.
Rebalancing:	Occurs on the final US business day of each month
Reinvestment of Cash Flows:	Intra-month interest and principal payments contribute to monthly index returns and are reinvested into the index on the following rebalancing date.

ESG Rules:	▪ Must have an MSCI ESG rating of BBB or higher
	▪ Excludes issuers involved in the following business lines/activities:
	  ▪ Alcohol
	  ▪ Tobacco
	  ▪ Gambling
	  ▪ Adult Entertainment
	  ▪ Genetically Modified Organisms (GMOs)
	  ▪ Nuclear Power

- Civilian Firearms
- Military Weapons
- Thermal Coal
- Generation of Thermal Coal
- Oil Sands
- Excludes issuers with a "Red" MSCI Controversies score measuring issuer involvement in major ESG controversies and adherence to international norms and principles

Question Set

1. Which of the following indexes would be *most* suitable for evaluating Baywhite's Short-Term Bond Fund?

An index composed primarily of:

A. high-yield short-term bonds.
B. investment-grade short-term bonds.
C. investment-grade bonds with more than five years to maturity.

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Solution:

B is correct. Baywhite's Short-Term Bond Fund invests in investment-grade, short-term bonds. To evaluate this fund, its returns should be compared to those of an index of similar maturity and credit instruments.

2. Match the characteristics on the right with the indexes on the left.

A. Broad equity index	I. Includes sovereign issuers
B. Broad bond index	II. Less frequent rebalancing
	III. Easier to fully replicate
	IV. Larger number of constituents

Hide Solution

Solution:

A. II and III
B. I and IV

3. Relative to equity indexes, fixed-income indexes exhibit more turnover due to:

A. annual rebalancing.
B. the finite maturity of bonds.
C. the lower frequency of new issues.

Hide Solution

Solution:

B is correct. The finite maturity of bonds and the higher frequency of new issuance leads to far more turnover in fixed-income indexes than in equity indexes. Bond indexes are usually rebalanced each month to both add new issues and remove those that fall below a minimum maturity.

4. The composition of broad bond indexes will *most likely* change due to changes in:

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C. both the maturity mix of issuers and the proportion of public versus private issuers.

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Solution:

C is correct. Since bonds are issued by many types of issuers, broad bond indexes will reflect changes to bond market composition over time—for example, increases in public versus private issuer debt, longer maturities, and deterioration in credit quality.

5. Identify the following statement as true or false. Justify your answer.

The Bloomberg Barclays MSCI Euro Corporate Sustainable SRI Index requires an MSCI ESG rating of AAA and excludes all emerging market issuers.

Hide Solution

Solution:

False. The Bloomberg Barclays MSCI Euro Corporate Sustainable SRI Index requires an MSCI ESG rating of BBB or higher and excludes certain business lines/activities, including alcohol, tobacco, gambling, and thermal coal. Emerging market issuers are not excluded.

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Discussion

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IG

It is given that Barclays Global Aggregate Index contains fixed rate bonds. At the same time, under "Coupon", it states that there can also be step-up coupons. If there are step-up coupons it comes under the category of variable rate bonds. I think this is a mistake that needs to be corrected. It's not just fixed rate bonds that are included in the index.

Created 4 months ago by Ishwarya Ganesh — 1 reply | Last Activity: 3 months ago

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AH

The answer to question 5 should be BBB -, I think, based on exhibit 5

Created 6 months ago by Andi Hoxha — 1 reply | Last Activity: 5 months ago

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TP

im not sure about question 3, i thought that equity indexes were more liquid...

Created 7 months ago by Tito Pizarro — 4 replies | Last Activity: 7 months ago

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